

larly in East Asia, all of which has thrown open once again the entire debate on whether we are going too fast on FTAs and at what cost.

Sure, some part of the Indian economy will get hurt, agrees Seshasayee, as Asean can produce things cheaper with lower costs in infrastructure and transaction. But he argues that this FTA is in the larger interest of higher economic growth. "It is a case of a little pain for larger gain later," says Seshasayee.

A measure of how India's FTAs matter is offered by H.S. Lheen, Hyundai India's managing director. He says the absence of a FTA between India and the EU may prompt the shift of production of its i20 car model for export from India to Europe. "The 6.5 per cent import duty that Indian car-makers face in Europe will make it virtually impossible

list of 489 items for all Asean countries put together, which means India has about 50 items in its negative list for each Asean country. In return, India conceded each Asean country a separate negative list of 489 items, according to each country's sensitivity to Indian imports.

With its high tariff barriers, India is anyway at a disadvantage while negotiating with blocs like Asean whose trade barriers are already quite low.

new standards of safety and technical regulations for chemical products and food. "Indian firms find it difficult to cope with these NTBS. They fall flat in complying with the rigorous rules and the exorbitant costs," says Dhar.

There are sectoral concerns also which have not been addressed. The overall incidence of indirect taxes on consumer durables and electronics is close to 30 per cent in India which is much higher than Thailand where VAT

is only 7 per cent and China where VAT is 17 per cent. The cascading taxes are making indigenous goods non-competitive. More vulnerable is the auto component sector.

Jayant Davar, CEO of Sandhar Technologies and president, Automotive Component Manufacturers Association, expects the sector to come under intense pressure. Countries like Thailand have become global hubs for the manufacture of a wide range of auto components as a result of tax concessions provided by their governments. Producers pay more for raw materials than finished products and this is killing industry. Following India's FTA with Thailand, car makers like Toyota have decided to buy transmissions from India and engines from Thailand, hurting engine component makers.

For better or worse, India seems committed to the FTA strategy. Federation of Indian Chambers of

Commerce and Industry President Harsh Pati Singhania sees a way out through infrastructure development, tax reforms and a strong bargaining for good service sector offers which will help industry to deal with the challenges of FTAs. Call them an antidote to India's global reach or supplement for trade and economic growth, FTAs are hot and happening and the spaghetti bowl of rules has just got a strong desi flavour. ■

“ A bigger issue is non-tariff barriers. Indian firms fall flat in complying with the rigorous rules and exorbitant costs. ”

BISWAJIT DHAR, *Director-General, RIS*

“ India cannot wait for the WTO—which is stuck in the Doha agenda—to deliver, so let us do some liberalisation ourselves. ”

BIBEK DEBROY, *Professor, CPR*



MANMOHAN WITH JAPANESE PRIME MINISTER TARO ASO

to compete with Korea. India should either subsidise the cost or speed up the FTA," says Lheen.

A greater focus on FTAs will, of course, ensure better access for India to existing and new markets and boost bilateral investments. But the rush for FTAs has its own pitfalls. The first is India's tendency to give away far too much compared to its counterparts as in the case of Asean. Indian negotiators agreed for one consolidated negative

Singapore has zero tariffs for over 99 per cent of its products, so the potential consequences of an FTA with India are negligible. Rajesh Chaddha of the National Council for Applied Economic Research (NCAER), says, for every \$1 increase in exports from India, because of an FTA (with Asean), there is a \$4 increase in exports from Asean to India.

Dhar says a bigger issue is non-tariff barriers (NTBS) being adopted by the EU and Japan. These are in the form of